

Status of Guaranteed Issues. If a company guarantees interest, dividend, or principal payments, its failure to meet this obligation will expose it to insolvency. The claim against the guarantor ranks equally with an unsecured debt of the company, so that guaranteed issues deserve the same rating as a debenture bond of the guarantor and a better rating than its preferred stock. A guaranteed issue may also be entitled to an investment rating because of its own position and earning power independent of the guaranty. In such cases the guaranty may add to its security, but it cannot detract therefrom even if the guarantor company itself is in bad straits.

Examples: The Brooklyn Union Elevated Railroad 5s (see Chap. 2) were guaranteed by the Brooklyn Heights Railroad Company, which went into receivership in 1919; but the bond came through the reorganization unscathed because of its own preferred position in the Brooklyn Rapid Transit System. Similarly U. S. Industrial Alcohol Company Preferred dividends were guaranteed by Distilling Company of America; the latter enterprise became bankrupt, but the Alcohol Company was easily able to continue the dividend out of its own earnings and later to retire the preferred issue at 125.

A common or preferred stock fully guaranteed by another company has the status of a bond issue as far as the guarantor is concerned. If the guaranty proves worthless, it would naturally return to the position of a stock—usually a weak issue, but possibly a strong one, as in the case of U. S. Industrial Alcohol Company Preferred just mentioned. A similar situation obtains with respect to income bonds of one company guaranteed by another (e.g., Chicago, Terre Haute, and Southeastern Railway Company Income 5s,⁸ *guaranteed* by the Chicago, Milwaukee, St. Paul and Pacific Railroad Company).

The value of a guarantee is sometimes very evident when part of an issue is guaranteed and part is not.

⁸ Interest was continued on these income bonds (through 1939) despite receivership of the guarantor company in 1935 and default on all its own obligations. This was due not to the guarantee but to the strategic importance and substantial earnings of the Terre Haute division. Note that in this case a *divisional second-mortgage income bond* fared substantially better than the first mortgage on the main line of the system. *Not the terms but the facts determine investment performance.*